ABC News, 26 Oct 2026
News summary · 27 October 2026

Dollar holds near 70 US cents as Australian yields stay above US yields

> The AUD was steady at about 70.3 US cents on Monday. Australian 10-year bond yields are above US yields, and markets expect the RBA to raise rates again while the US Fed holds.

WHAT HAPPENED

- The **AUD closed at about 70.3 US cents**, little changed through a choppy day on the ASX.
- Australia's **10-year bond yield was 5.17%**, compared with **4.97% in the US**, so Australia offers a positive interest rate gap.
- **Gold** briefly fell below US$4,000/oz for the first time since July before recovering to about US$4,017. **Brent crude** eased to about US$114.50.
- Markets price about a **61% chance** that the RBA raises rates on 3 November. The US Fed is expected to hold this week.

KEY NUMBERS

70.3¢
AUD in US cents (close, 26 Oct)

5.17%
Australian 10-year yield

4.97%
US 10-year yield

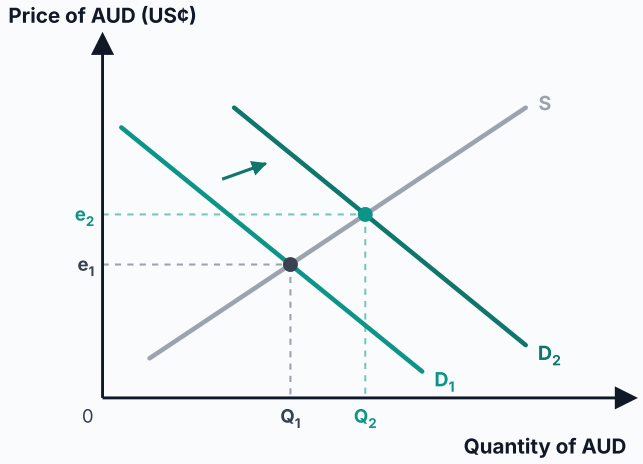
~61%
market odds of an RBA hike, 3 Nov

Interest rate differential: the gap between Australian and overseas interest rates

Appreciation: a rise in the value of the AUD against another currency

DIAGRAM

Higher Australian rates raise demand for the AUD



If Australian interest rates rise relative to US rates, Australian assets pay a higher return. Foreign investors need more AUD to buy them, so **demand for AUD shifts from D_1 to D_2**.

The exchange rate rises from **e_1 to e_2** (an appreciation). Strong commodity prices add to demand for AUD through export earnings.

Exam angle: an appreciation makes imports cheaper, which helps lower inflation (including petrol prices in AUD). It also makes exporters less competitive. This is the exchange rate channel of monetary policy.

SYLLABUS LINK

Topic 2 – what determines the exchange rate: interest rate differentials, capital flows and the terms of trade; how exchange rate changes affect the economy.

TRY THIS

1. Using a diagram of the market for AUD, explain the likely effect of an RBA rate rise on 3 November. **(4 marks)**
2. Explain how a higher AUD affects inflation and the international competitiveness of Australian exporters. **(4 marks)**

Sources:
1. ABC News – Markets blog, 26 Oct 2026 – https://www.abc.net.au/news/2026-10-26/asx-markets-business-live-news-october-26/107306820

Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.